What makes a good project?
Success factors of the World Bank education development projects

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Dissertation

Submitted to the Faculty of the

Graduate School of Vanderbilt University

in partial fulfillment of the requirement

for the degree of

DOCTOR OF PHILOSOPHY

in

Leadership and Policy Studies

May, 2016

Nashville, Tennessee

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To my parents and my husband with love and gratitude
감사합니다. 그리고 사랑합니다.

ACKNOWLEDGEMENTS

I am grateful to everyone who has helped me sustain through this whole process. Words are not enough to show how thankful I am for their support.

I am very grateful to Dr. Stephen Heyneman, Chair of this dissertation and my academic advisor, for encouraging me to pursue my study in the field of international development and education as well as providing his keen insights and guidance throughout my journey. Each member of my Dissertation Committee has provided me with extensive guidance on the topic and helped me with practical skills that I needed to deal with the complex questions in this study. Special thanks to Dr. Birger Fredriksen, who actively helped me in recruiting the interviewees, as well as provided detailed comments on every page of my dissertation.

Many thanks to Mr. Sverrir Sigurdsson who also helped me in recruiting the interviewees, Mr. DaeIn Chong who gave me general guidance on IEG evaluation ratings and answered all my trivial questions about using this as data. This study would not have been possible without the participation of the interviewees who shared their personal experiences. I would also like to thank Dr. Christopher Kilby and Dr. Matthew Winters for giving me technical help with the IEG ratings data.

Nobody has been more important to me in the pursuit of this study than my family. I would like to thank my parents and my sister whose love and support are endless with whatever I pursue. Most importantly, I thank my beloved and infinitely supportive husband, Jaehoon Kim, and my amazing son, Sean Kim, who provide unending inspiration.

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LIST OF ABBREVIATIONS

Canadian International Development Agency (CIDA)

Country Policy and Institutional Assessment (CPIA)

Craig Burnside and David Dollar (BD)

Development Assistance Committee (DAC)

East Asia and the Pacific (EAP)

Education for All (EFA)

Europe and Central Asia (ECA)

Evaluation Summaries (ES)

Fast Track Initiative (FTI)

Generalized Method of Moments (GMM)

Global Partnership for Education (GPE)

Government Effectiveness (GE)

Gross Domestic Product (GDP)

Gross National Income (GNI)

Hierarchical Linear model (HLM)

Implementation Completion Report (ICR)

Implementation Status and Results Report (ISR)

International Bank for Reconstruction and Development (IBRD)

International Development Association (IDA)

International Monetary Fund (IMF)

Latin America and Caribbean (LCR)

Middle East and North Africa (MNA)

Millennium Development Goals (MDGs)

Ministry of Education (MOE)

Missing At Random (MAR)

Official Development Assistance (ODA)

Operations Evaluation Department (OED)

Ordinary Least Square (OLS)

Organisation for Economic Co-operation and Development (OECD)

Project Appraisal Documents (PAD)

Project Completion Reports (PCR)

Project Development Objective (PDO)

Project Performance Assessment Reports (PPAR)

Project Performance Audit Reports (PPAR)

Receiver Operator Characteristic (ROC)

South Asia (SAR)

Staff Appraisal Report (SAR)

Sub-Saharan Africa (AFR)

United Nations (UN)

United Nations Educational, Scientific and Cultural Organization (UNESCO)

United Nations Security Council (UNSC)

United States Agency for International Development (USAID)

Universal Primary Education (UPE)

World Bank Independent Evaluation Group (IEG)

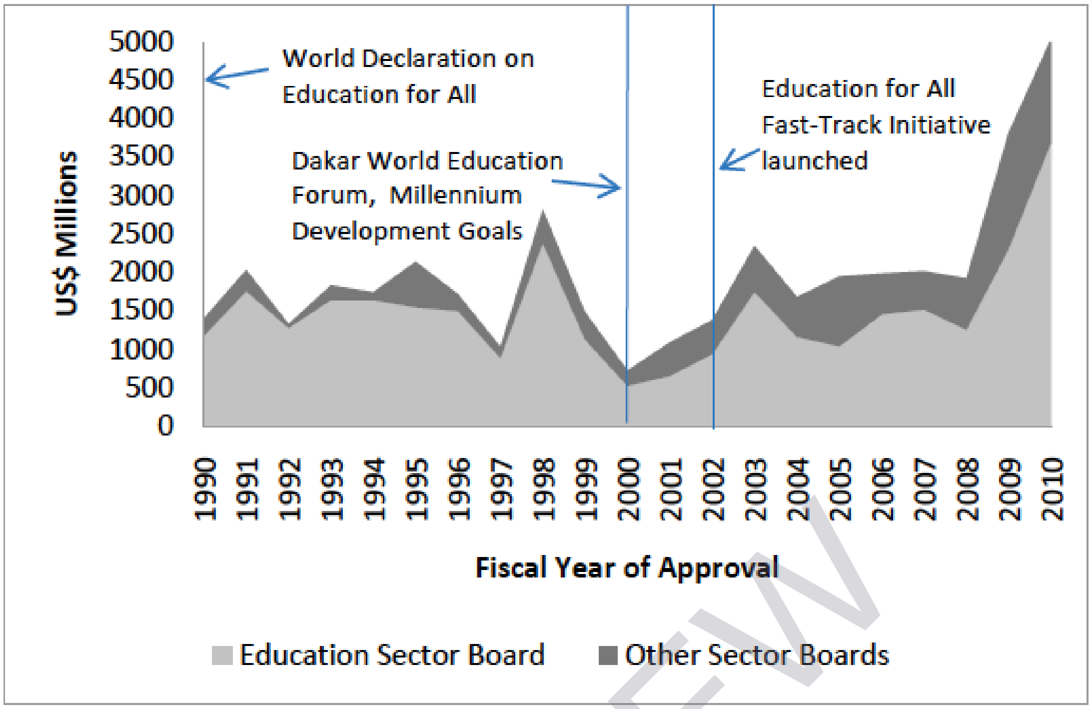
World Development Indicators (WDI)

Worldwide Governance Indicators (WGI)

CHAPTER I

INTRODUCTION

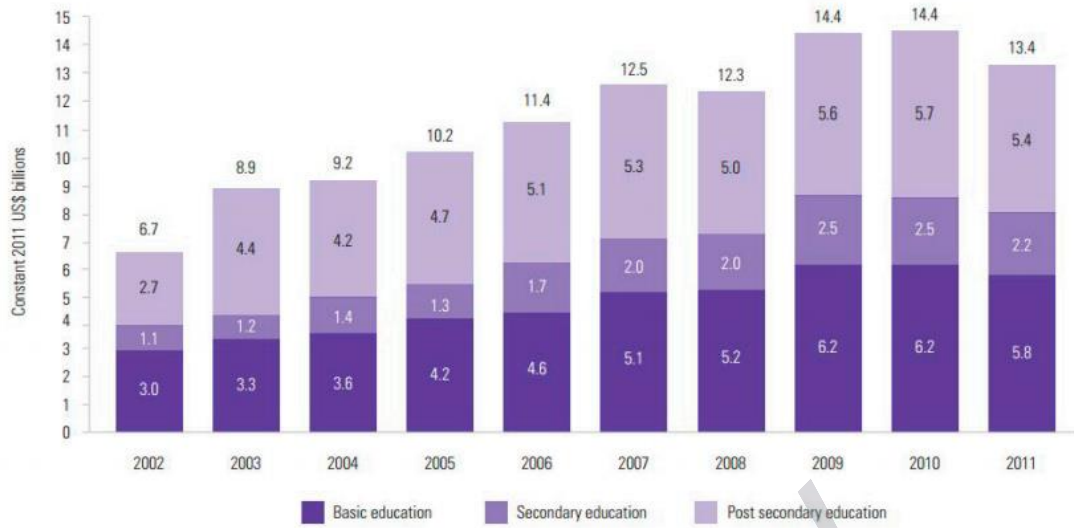
Foreign aid has continuously increased since the 1960s. Aid increased substantially since the 2000s when the Millennium Development Goals (MDGs) were established. Developed countries doubled their annual aid flows, and tripled aid specifically for Africa (Birdsall & Savedoff, 2010). By 2012, the foreign aid amounted to more than $125 billion a year (OECD, 2015). Charitable foundations and philanthropic international programs that actively participate in the international donor community also increased substantially, although the size of their commitments is still very small compared to that of official development assistance from major donor countries (Birdsall & Savedoff, 2010; Heyneman & Lee, 2013). Aid to the education sector also expanded, mirroring the increase in overall aid levels (UNESCO, 2013b). Both the Education MDGs and the six EFA (Education for All) goals were established in 2000 and targeted at 2015 (Burnett & Felsman, 2012). The World Bank and other development partners launched the Education for All Fast Track Initiative (FTI) in 2002 to meet the educational goals of EFA and MDGs. The World Bank committed about $23 billion to finance education programs between 2001 through mid-2010 (World Bank IEG, 2011). As illustrated in Figure 1, new education commitments dropped to their lowest since the financial crisis in the late 1990s, however, the amount doubled from $1 billion annually in 2000 to $2 billion annually by 2007–08 (World Bank IEG, 2011).



Source: World Bank data.
Note: Financial commitments for the part of projects that represents education are attributed to the year of approval. Additional financing is attributed to the year that the additional financing was approved. Figures are in nominal US dollars.

Figure 1 New World Bank commitments to education, 1990-2010 ($ millions)

However, an increase of aid in the education sector declined after 2010 (Heyneman & Lee, 2013; Mundy, 2006; UNESCO, 2013a). The share of official aid in the education sector has been around 13% over the past decade, but there was about a 7% reduction in education aid between 2010 and 2011, while there was only a 3% reduction in total aid over the period (see Figure 2) (UNESCO, 2013a). The World Bank's new commitments to education also stopped increasing after the most recent financial crisis (World Bank IEG, 2011).



Source: EFA Global Monitoring Report team analysis based on OECD Creditor Reporting System (2013).

Figure 2 Total aid disbursements to education, 2002–2011

The recent decline in education aid along with overall aid level indicates that aid budgets are coming under pressure as donor countries find it difficult to manage unprecedented levels of debt and unsustainable budget deficits (Overseas Development Institute (ODI), 2009). Thus there has never been greater need to make the case that aid is used effectively to achieve results (Bermingham, Christensen, & Mahn, 2009). However, the aid effectiveness literature showed insufficient evidence to support that aid has a positive effect. Some studies show that foreign aid has a positive effect on economic growth under good policies and institutions (Burnside & Dollar, 1997; Svensson, 1999; Burnside & Dollar, 2004; Collier & Dollar, 2004), whereas others show no effect of foreign aid (Boone, 1994; Dalgaard & Hansen, 2001; Easterly, Levine, & Roodman, 2004; Rajan & Subramanian, 2005). As education plays a fundamental role in poverty alleviation and economic growth (Hanushek & Woessmann, 2008; World Bank

Independent Evaluation Group, 2011), some recent studies examined the effectiveness of educational aid. Aggregate level studies show a moderately positive effect of educational aid on school enrollment and completion rates, though the effects are not robust across different model specifications (Michaelowa & Weber, 2006; Michaelowa & Weber, 2008; Dreher, Nunnenkamp, & Thiele, 2008; Christensen, Homer, & Nielson, 2011). Despite the skeptical results of aid effectiveness, the international donor community, particularly at the point when the MDG agenda (2000–2015) is reaching its end, became aware of reduced poverty during the MDG period. The extensive ongoing debate on the Post-2015 Development Agenda is quite favorable to aid the recent "Report of the High-Level Panel of Eminent Persons on the Post-2015 Development Agenda," which acknowledges the large effort by donors that contributed to remarkable achievements after the MDGs; half a billion fewer people are living below the international poverty line of $1.25 a day, child death rates have fallen by more than 30%, with about three million children's lives saved each year compared to 2000, 590 million children in developing countries – record number– attended primary school. The panel suggests that such success calls for more action (United Nations, 2013).

Not only is there optimism on aid effectiveness by the international community, but there is also another reason for aid effectiveness to be observed. Foreign aid is driven by the donor's political and long-term strategic interests as well as developmental and humanitarian goals to promote long term economic growth and political stability (Akhand & Gupta, 2002). Because of this political nature of foreign aid, aid is likely to continue, albeit perhaps on a declining basis and taking different forms regardless of some empirical studies questioning the impact.

Therefore, it is more appropriate to assume that foreign aid works and explore the conditions under which foreign aid has an effect. In fact, the overarching literature on foreign aid is policy debates about what ‘matters’ for development (Moloney, 2009). Also, since aggregate level studies have limitation in explaining the large variation in project success or failure (Doucouliagos & Paldam, 2009) and most foreign aid is delivered in the form of projects, studies need to examine the aid effectiveness at the project level. Until recently, foreign aid scholars have had limited opportunities to engage in sector-specific analysis and project level analysis due to data scarcity (Moloney, 2009). The World Bank project performance ratings data provides a direct input and output relationship of project characteristics and project outcomes. The World Bank is also the most influential multilateral organization in the education sector from the international donor community, as it has the largest funding source. Therefore, this study examines the determinants of the education project outcomes of the World Bank.

This study is divided into two parts. The quantitative part of this study aims to examine the education project characteristics significantly associated with project outcomes using the World Bank Independent Evaluation Group (IEG) project performance data. I use the education projects that were implemented between 1996 and 2011. The characteristics are divided into two: country level characteristics such as spending on education sector and GDP growth, and project level characteristics such as project size, duration, and type of loans. As one of the project level characteristics, I include a dummy variable for development policy loans, as there have been discussions on aid modalities, that channeling aid through the national budget might be more effective since it strengthens ownership and national systems, as well as addresses inter-sectoral issues (Fredriksen, 2011a).

The first research question, therefore, is "What factors explain the variation in project performance of education development projects at the World Bank?" Using the data available from the IEG data and country level data from various sources, I apply a linear probability, logit, ordered logit, and logit models with country fixed effects to examine the determinants of project outcomes.

The qualitative part of the study aims to use the World Bank staff's experience and report their opinions on project determinants and outcomes. The IEG data does not contain detailed information on each project. For example, there is no information on the implementing staff's background and experience that might play a significant role in project's success. Not only the implementing staff's quality, but there could be many other factors that might be considered important for project outcomes as the Bank mechanism of project implementation is rather complicated. Therefore, the second research question is "What factors are perceived as important for World Bank education project outcomes?"

To answer the research question for the qualitative part, I collected interview data from 15 current and retired Bank staff. Semi-structured individual interview was conducted. All interviews are transcribed and coded using Nvivo. Results from the quantitative data combined with the qualitative data presents a larger picture of the significant factors for project outcomes.

The rest of this dissertation is organized into three sections. In the background, I explain that this study focuses on the relationship between project characteristics and outcomes within the larger context of aid effectiveness literature. I present a typical Bank project cycle and explain what is being done at each phase of the cycle. I also describe how the Bank's lending policy has changed over time since the 1970s. In the literature review section, I present the findings from the most relevant studies. Since this is the first study to focus on education sector using project level data, I review studies from four different areas: 1) macro level studies on foreign aid in education from economics literature 2) studies that focus on World Bank projects using the project level data from economic literature 3) determinants of project outcomes from the project management literature and finally 4) studies that describe the Bank's education projects from educational management literature. In the research design section, I describe the data and the analytical strategy for both the quantitative and qualitative parts of this study.

Before moving on to the next section, it is crucial that I clarify the term "project success" used in this dissertation. Although the term "project success" sounds vague, in this study, I only refer to the short-term project outcomes, which is defined by project evaluation ratings. Although measuring the long-term outcomes of projects, which is the program impact for the beneficiaries, are the most ideal and useful for practitioners and policy makers in the field of international development, long-term project outcomes are not obtained for this study and thus not included in the data. Therefore, in this study, the term "project success" is referred to as short term project outcomes, outcomes that are measured/evaluated usually after two to three years of implementation completion.

CHAPTER II

BACKGROUND

1. Narrowing the scope from general aid to World Bank education projects

Foreign assistance was started after World War II to aid the war-affected countries for the purpose of reconstruction, extending political influence and altruism (Heyneman & Lee, 2013). It began when the U.S. transferred 2–3% of its national income to restore the European economic system (Tarp, 2010). This Marshall Plan, also known as the European Recovery Programme, was considered the most successful aid program. Thereafter, the focus of foreign aid shifted to the newly independent and less industrialized countries in Africa, Asia and Latin America. These countries were seen as strategically important countries in the emerging Cold War between the Soviet Union and the United States (Chabbott, 2003). Foreign aid programs offered technical aid to less industrialized countries. By the 1990s, most industrialized countries were contributing to multilateral development aid and all the OECD members were involved in bilateral development programs (Chabbott, 2003). An increasing number of non-governmental organizations also became involved in the development policy arenas. More recently, the countries that "graduated" from low-income countries, such as China, India and Brazil, became new donors (Mundy, 2006; Mundy, 2002).

Foreign aid is delivered through different types of channels. Bilateral official aid is channeled directly from the donor government agencies (e.g. United States Agency of

International Development, Canadian International Development Agency) to the recipient countries. Multilateral official aid is channeled through multilateral organizations such as the World Bank and UNESCO. United Nations organizations provide grants that do not have to be repaid, whereas the World Bank, the International Monetary Fund (IMF) and regional banks provide loans that need to be repaid (Heyneman & Lee, 2013). Charitable foundations (e.g. Save the Children, CARE) and religious philanthropies (e.g. World Vision) also actively participate in international educational development (Heyneman & Lee, 2013).

Among the different types of foreign aid delivery channels, I narrow the focus of this study to multilateral assistance. Bilateral assistance tends to reflect the political, economic and geographical interests of the donor governments. The spending of charitable foundations and religious philanthropies is difficult to track, as they are not obligated to report to the OECD on the amount of aid disbursed. On the other hand, the OECD keeps a database of all Development Assistance Committee (DAC) members and multilateral organizations' amount of Official Development Assistance (ODA) every year in their Creditor Reporting System. Among the multilateral organizations, the World Bank keeps a record of all implemented operational projects and the project performance ratings.

Moreover, within the larger context of international donor community, the World Bank has a substantial influence on the direction of donors' policies in the education sector. The Bank is the largest single international source of education finance, and in FY 2013, the Bank disbursed 2.9 billion dollars for education operations (Mundy, 2002; King, 2013). The magnitude of resources is much larger than other United Nations institutions (Marshall, 2008). The World Bank also has several pooled trust funds for education in conflict-affected states. It is also the host of the Global Partnership for Education (formerly the Fast Track Initiative). The Bank is a core agency of global governance that plays a crucial role in the business of development (Marshall, 2008). Therefore, the long-term success of the aid effectiveness agenda will depend on changes in operational and management culture at the World Bank (Bermingham, Christensen, & Mahn, Aid effectiveness in education: Why it matters, 2009).

Within the World Bank, there are different types of financial services. There are lending instruments, grants, co-financing and trust funds (World Bank, 2007). There are two types of lending instruments: investment lending and development policy lending. Investment loans provide long-term financing for a range of activities and has, on average, accounted for 75–80 percent of all Bank lending (World Bank, 2007). Development policy loans, previously called adjustment loans, provide quick disbursement assistance to countries to support structural reforms. On average, this has accounted for 20–25% of total Bank lending (World Bank, 2007).

The Bank has a few grants that are funded directly or through partnerships. Grants are usually used as seed money for innovative projects. Co-financing is any arrangement in which the Bank's fund is combined with funds provided by sources from non-recipient countries. The Bank can co-finance projects in collaboration with other donor governments, multilateral institutions or commercial banks (World Bank, 2007). Trust funds are an arrangement between the Bank and a donor or a group of donors, in which the donor entrusts the Bank with funds used for specific development activity. These categories are not mutually exclusive. An investment lending, for example, can be co-